

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE  
FOR

SENATE BILL 1390

By: Jech of the Senate

and

Newton of the House

COMMITTEE SUBSTITUTE

An Act relating to gross production tax; amending 68 O.S. 2021, Section 1004, as last amended by Section 2, Chapter 490, O.S.L. 2025 (68 O.S. Supp. 2025, Section 1004), which relates to apportionments; modifying apportionments for certain fiscal years; updating statutory language; updating statutory reference; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 68 O.S. 2021, Section 1004, as last amended by Section 2, Chapter 490, O.S.L. 2025 (68 O.S. Supp. 2025, Section 1004), is amended to read as follows:

Section 1004. A. As used in this section:

1. "Moving five-year average amount for gas" means, for purposes of the apportionments prescribed by this section, the amount of gross production tax on natural gas collected for each of the five (5) complete fiscal years, as computed by the State Board

1 of Equalization pursuant to Section 34.103 of Title 62 of the  
2 Oklahoma Statutes; and

3 2. "Moving five-year average amount for oil" means, for  
4 purposes of the apportionments prescribed by this section, the  
5 amount of gross production tax on oil collected for each of the five  
6 (5) complete fiscal years, as computed by the State Board of  
7 Equalization pursuant to Section 34.103 of Title 62 of the Oklahoma  
8 Statutes.

9 B. Beginning July 1, 2017, the gross production tax provided  
10 for in Section 1001 of this title is hereby levied and shall be  
11 collected and apportioned as follows:

12 1. For all monies collected from the tax levied on asphalt or  
13 ores bearing uranium, lead, zinc, jack, gold, silver or copper:

14 a. eighty-five and seventy-two one-hundredths percent  
15 (85.72%) shall be paid to the State Treasurer ~~of the~~  
16 ~~state~~ to be placed in the General Revenue Fund ~~of the~~  
17 ~~state~~ and used for the general expense of state  
18 government, to be paid out pursuant to direct  
19 appropriation by the Legislature,

20 b. seven and fourteen one-hundredths percent (7.14%) ~~of~~  
21 ~~the sum collected from natural gas and/or casinghead~~  
22 ~~gas or asphalt or ores bearing uranium, lead, zinc,~~  
23 ~~jack, gold, silver or copper~~ shall be paid to the  
24 various county treasurers to be credited to the ~~County~~

1        ~~Highway Fund~~ county highway fund as follows: Each

2        county shall receive a proportionate share of the

3        funds available based upon the proportion of the total

4        value of production from such county in the

5        corresponding month of the preceding year, and

6        c.    seven and fourteen one-hundredths percent (7.14%)

7        shall be allocated to each county as provided for in

8        subparagraph b of this paragraph and shall be

9        apportioned, on an average daily attendance per capita

10       distribution basis, as certified by the ~~State~~

11       Superintendent of Public Instruction to the school

12       districts of the county where such pupils attend

13       school regardless of residence of such pupil, provided

14       the school district makes an ad valorem tax levy of

15       fifteen (15) mills for the current year and maintains

16       twelve (12) years of instruction;

17       2.    For all monies collected from the tax levied on natural gas

18       ~~and/or~~ and casinghead gas at a tax rate of seven percent (7%)

19       pursuant to the provisions of subsection B of Section 1001 of this

20       title:

21       a.    after the total revenue apportioned to the General

22       Revenue Fund as prescribed by subparagraph b of this

23       paragraph equals the moving five-year average amount

24       for gas as defined by paragraph 1 of subsection A of

1           this section, there shall be apportioned from the  
2           gross production tax levy imposed pursuant to Section  
3           1001 of this title on natural gas ~~and/or~~ and  
4           casinghead gas to the Revenue Stabilization Fund  
5           created by Section 34.102 of Title 62 of the Oklahoma  
6           Statutes, the amount of revenue, if any, which exceeds  
7           the moving five-year average amount for gas as defined  
8           pursuant to paragraph 1 of subsection A of this  
9           section,

10          b.   until the apportionment to the General Revenue Fund  
11               equals the moving five-year average amount for gas as  
12               prescribed by paragraph 1 of subsection A of this  
13               section, eighty-five and seventy-two one-hundredths  
14               percent (85.72%) shall be paid to the State Treasurer  
15               ~~of the state~~ to be placed in the General Revenue Fund  
16               ~~of the state~~ and used for the general expense of state  
17               government, to be paid out pursuant to direct  
18               appropriation by the Legislature,

19          c.   before any other apportionment of revenue has been  
20               made pursuant to this paragraph, seven and fourteen  
21               one-hundredths percent (7.14%) of the sum collected  
22               from natural gas ~~and/or~~ and casinghead gas shall be  
23               paid to the various county treasurers to be credited  
24               to the ~~County Highway Fund~~ county highway fund as

1 follows: Each county shall receive a proportionate  
2 share of the funds available based upon the proportion  
3 of the total value of production from such county in  
4 the corresponding month of the preceding year, and

- 5 d. before any other apportionment of revenue has been  
6 made pursuant to this paragraph, seven and fourteen  
7 one-hundredths percent (7.14%) shall be allocated to  
8 each county as provided for in subparagraph c of this  
9 paragraph and shall be apportioned, on an average  
10 daily attendance per capita distribution basis, as  
11 certified by the ~~State~~ Superintendent of Public  
12 Instruction to the school districts of the county  
13 where such pupils attend school regardless of  
14 residence of such pupil, provided the school district  
15 makes an ad valorem tax levy of fifteen (15) mills for  
16 the current year and maintains twelve (12) years of  
17 instruction;

18 3. For all monies collected from the tax levied on natural gas  
19 ~~and/or~~ and casinghead gas at a tax rate of four percent (4%)  
20 pursuant to the provisions of subsection B of Section 1001 of this  
21 title:

- 22 a. after the total revenue apportioned to the General  
23 Revenue Fund as prescribed by subparagraph b of this  
24 paragraph equals the moving five-year average amount

1 for gas as defined by paragraph 1 of subsection A of  
2 this section, there shall be apportioned from the  
3 gross production tax levy imposed pursuant to Section  
4 1001 of this title on natural gas ~~and/or~~ and  
5 casinghead gas to the Revenue Stabilization Fund  
6 created pursuant to Section 34.102 of Title 62 of the  
7 Oklahoma Statutes, the amount of revenue, if any,  
8 which exceeds the moving five-year average amount for  
9 gas as defined pursuant to paragraph 1 of subsection A  
10 of this section,

11 b. until the apportionment to the General Revenue Fund  
12 equals the moving five-year average amount for gas as  
13 prescribed by paragraph 1 of subsection A of this  
14 section, seventy-five percent (75%) shall be paid to  
15 the State Treasurer ~~of the state~~ to be placed in the  
16 General Revenue Fund ~~of the state~~ and used for the  
17 general expense of state government, to be paid out  
18 pursuant to direct appropriation by the Legislature,

19 c. before any other apportionment of revenue has been  
20 made pursuant to this paragraph, twelve and one-half  
21 percent (12.5%) of the sum collected from natural gas  
22 ~~and/or~~ and casinghead gas shall be paid to the various  
23 county treasurers to be credited to the ~~County Highway~~  
24 ~~Fund~~ county highway fund as follows: Each county

1 shall receive a proportionate share of the funds  
2 available based upon the proportion of the total value  
3 of production from such county in the corresponding  
4 month of the preceding year, and

- 5 d. before any other apportionment of revenue has been  
6 made pursuant to this paragraph, twelve and one-half  
7 percent (12.5%) shall be allocated to each county as  
8 provided for in subparagraph c of this paragraph and  
9 shall be apportioned, on an average daily attendance  
10 per capita distribution basis, as certified by the  
11 ~~State~~ Superintendent of Public Instruction to the  
12 school districts of the county where such pupils  
13 attend school regardless of residence of such pupil,  
14 provided the school district makes an ad valorem tax  
15 levy of fifteen (15) mills for the current year and  
16 maintains twelve (12) years of instruction;

17 4. For all monies collected from the tax levied on natural gas  
18 ~~and/or~~ and casinghead gas at a tax rate of one percent (1%) pursuant  
19 to the provisions of subsection B of Section 1001 of this title:

- 20 a. fifty percent (50%) of the sum collected from natural  
21 gas ~~and/or~~ and casinghead gas shall be paid to the  
22 various county treasurers to be credited to the ~~County~~  
23 ~~Highway Fund~~ county highway fund as follows: Each  
24 county shall receive a proportionate share of the

1 funds available based upon the proportion of the total  
2 value of production from such county in the  
3 corresponding month of the preceding year, and  
4 b. fifty percent (50%) shall be allocated to each county  
5 as provided for in subparagraph a of this paragraph  
6 and shall be apportioned, on an average daily  
7 attendance per capita distribution basis, as certified  
8 by the ~~State~~ Superintendent of Public Instruction to  
9 the school districts of the county where such pupils  
10 attend school regardless of residence of such pupil,  
11 provided the school district makes an ad valorem tax  
12 levy of fifteen (15) mills for the current year and  
13 maintains twelve (12) years of instruction;

14 5. For all monies collected from the tax levied on natural gas  
15 ~~and/or~~ and casinghead gas at a tax rate of two percent (2%) pursuant  
16 to the provisions of paragraph 3 of subsection B of Section 1001 of  
17 this title:

18 a. after the total revenue apportioned to the General  
19 Revenue Fund as prescribed by subparagraph b of this  
20 paragraph equals the moving five-year average amount  
21 for gas as defined by paragraph 1 of subsection A of  
22 this section, there shall be apportioned from the  
23 gross production tax levy imposed pursuant to Section  
24 1001 of this title on gas to the Revenue Stabilization



1 Fund created by Section 34.102 of Title 62 of the  
2 Oklahoma Statutes, the amount of revenue, if any,  
3 which exceeds the moving five-year average amount for  
4 natural gas ~~and/or~~ and casinghead gas as defined  
5 pursuant to paragraph 1 of subsection A of this  
6 section,

7 b. until the apportionment to the General Revenue Fund  
8 equals the moving five-year average amount for gas as  
9 prescribed by paragraph 1 of subsection A of this  
10 section, fifty percent (50%) shall be paid to the  
11 State Treasurer to be placed in the General Revenue  
12 Fund ~~of the state~~ and used for the general expense of  
13 state government, to be paid out pursuant to direct  
14 appropriation by the Legislature,

15 c. before any other apportionment of revenue has been  
16 made pursuant to this paragraph, twenty-five percent  
17 (25%) of the sum collected from natural gas ~~and/or~~ and  
18 casinghead gas shall be paid to the various county  
19 treasurers to be credited to the ~~County Highway Fund~~  
20 county highway fund as follows: Each county shall  
21 receive a proportionate share of the funds available  
22 based upon the proportion of the total value of  
23 production from such county in the corresponding month  
24 of the preceding year, and

1           d.    before any other apportionment of revenue has been  
2                made pursuant to this paragraph, twenty-five percent  
3                (25%) shall be allocated to each county as provided  
4                for in subparagraph c of this paragraph and shall be  
5                apportioned on an average daily attendance per capita  
6                distribution basis, as certified by the ~~State~~  
7                Superintendent of Public Instruction, to the school  
8                districts of the county where such pupils attend  
9                school regardless of residence of such pupil, provided  
10              the school district makes an ad valorem tax levy of  
11              fifteen (15) mills for the current year and maintains  
12              twelve (12) years of instruction;

13           6.   For all monies collected from the tax levied on oil at a tax  
14              rate of seven percent (7%) pursuant to the provisions of subsection  
15              B of Section 1001 of this title:

16           a.   there shall be apportioned from the gross production  
17                tax levy imposed pursuant to Section 1001 of this  
18                title on oil to the Revenue Stabilization Fund created  
19                by Section 34.102 of Title 62 of the Oklahoma  
20                Statutes, after the applicable maximum amount  
21                prescribed by subsection C of this section has been  
22                deposited to the funds therein specified, the amount  
23                of revenue, if any, which would otherwise be  
24                apportioned to the General Revenue Fund and which

1 exceeds the moving five-year average amount for oil as  
2 defined pursuant to paragraph 2 of subsection A of  
3 this section,

4 b. before any other apportionment of revenue has been  
5 made pursuant to this paragraph, twenty-five and  
6 seventy-two one-hundredths percent (25.72%) shall be  
7 paid to the State Treasurer to be placed in the Common  
8 Education Technology Revolving Fund created in Section  
9 34.90 of Title 62 of the Oklahoma Statutes,

10 c. before any other apportionment of revenue has been  
11 made pursuant to this paragraph, twenty-five and  
12 seventy-two one-hundredths percent (25.72%) shall be  
13 paid to the State Treasurer to be placed in the Higher  
14 Education Capital Revolving Fund created in Section  
15 34.91 of Title 62 of the Oklahoma Statutes,

16 d. before any other apportionment of revenue has been  
17 made pursuant to this paragraph, twenty-five and  
18 seventy-two one-hundredths percent (25.72%) shall be  
19 paid to the State Treasurer to be placed in the  
20 Oklahoma Student Aid Revolving Fund created in Section  
21 34.92 of Title 62 of the Oklahoma Statutes,

22 e. before any other apportionment of revenue has been  
23 made pursuant to this paragraph, three and seven  
24 hundred forty-five one-thousandths percent (3.745%)

1 shall be distributed to the various counties of the  
2 state for deposit into the County Bridge and Road  
3 Improvement Fund of each county based on a formula  
4 developed by the Department of Transportation and  
5 approved by the Department of Transportation County  
6 Advisory Board created pursuant to Section 302.1 of  
7 Title 69 of the Oklahoma Statutes to be used for the  
8 purposes set forth in the County Bridge and Road  
9 Improvement Act. The formula shall be similar to the  
10 formula currently used for the distribution of monies  
11 in the County Bridge Program funds, but shall also  
12 take into consideration the effect of the terrain and  
13 traffic volume as related to county road improvement  
14 and maintenance costs,

15 f. before any other apportionment of revenue has been  
16 made pursuant to this paragraph, four and twenty-eight  
17 one-hundredths percent (4.28%) shall be paid to the  
18 State Treasurer to be apportioned to:

19 (1) the following sources and in the following  
20 amounts through the fiscal year ending ~~June 30,~~  
21 ~~2027~~ June 30, 2032:

22 (a) thirty-three and one-third percent (33 1/3%)  
23 to the Oklahoma Tourism and Recreation  
24 Department Capital Expenditure Revolving

Fund created pursuant to Section 2254.1 of  
Title 74 of the Oklahoma Statutes,

(b) thirty-three and one-third percent (33 1/3%)  
to the Oklahoma Conservation Commission  
Infrastructure Revolving Fund created  
pursuant to Section 3-2-110 of Title 27A of  
the Oklahoma Statutes, and

(c) thirty-three and one-third percent (33 1/3%)  
to the Community Water Infrastructure  
Development Revolving Fund created pursuant  
to Section 1085.7A of Title 82 of the  
Oklahoma Statutes, and

(2) the Oklahoma Water Resources Board Rural Economic  
Action Plan Water Projects Fund for the fiscal  
year beginning ~~July 1, 2027~~ July 1, 2032, and for  
each fiscal year thereafter,

g. before any other apportionment of revenue has been  
made pursuant to this paragraph, seven and fourteen  
one-hundredths percent (7.14%) of the sum collected  
from oil shall be paid to the various county  
treasurers, to be credited to the ~~County Highway Fund~~  
county highway fund as follows: Each county shall  
receive a proportionate share of the funds available  
based upon the proportion of the total value of

1 production from such county in the corresponding month  
2 of the preceding year,

3 h. before any other apportionment of revenue has been  
4 made pursuant to this paragraph, seven and fourteen  
5 one-hundredths percent (7.14%) shall be allocated to  
6 each county as provided in subparagraph g of this  
7 paragraph and shall be apportioned, on an average  
8 daily attendance per capita distribution basis, as  
9 certified by the ~~State~~ Superintendent of Public  
10 Instruction, to the school districts of the county  
11 where such pupils attend school regardless of  
12 residence of such pupil, provided the school district  
13 makes an ad valorem tax levy of fifteen (15) mills for  
14 the current year and maintains twelve (12) years of  
15 instruction, and

16 i. before any other apportionment of revenue has been  
17 made pursuant to this paragraph, five hundred thirty-  
18 five one-thousandths percent (0.535%) of the levy  
19 shall be transmitted by the Oklahoma Tax Commission to  
20 the Statewide Circuit Engineering District Revolving  
21 Fund as created in Section 687.2 of Title 69 of the  
22 Oklahoma Statutes;

1       7. For all monies collected from the tax levied on oil at a tax  
2 rate of four percent (4%) pursuant to the provisions of subsection B  
3 of Section 1001 of this title:

4           a. there shall be apportioned from the gross production  
5 tax levy imposed pursuant to Section 1001 of this  
6 title on oil to the Revenue Stabilization Fund created  
7 by Section 34.102 of Title 62 of the Oklahoma  
8 Statutes, after the applicable maximum amount  
9 prescribed by subsection C of this section has been  
10 deposited to the funds therein specified, the amount  
11 of revenue, if any, which would otherwise be  
12 apportioned to the General Revenue Fund and which  
13 exceeds the moving five-year average amount for oil as  
14 defined pursuant to paragraph 2 of subsection A of  
15 this section,

16          b. before any other apportionment of revenue has been  
17 made pursuant to this paragraph, twenty-two and one-  
18 half percent (22.5%) shall be paid to the State  
19 Treasurer to be placed in the Common Education  
20 Technology Revolving Fund created in Section 34.90 of  
21 Title 62 of the Oklahoma Statutes,

22          c. before any other apportionment of revenue has been  
23 made pursuant to this paragraph, twenty-two and one-  
24 half percent (22.5%) shall be paid to the State

1           Treasurer to be placed in the Higher Education Capital  
2           Revolving Fund created in Section 34.91 of Title 62 of  
3           the Oklahoma Statutes,

4           d.   before any other apportionment of revenue has been  
5                made pursuant to this paragraph, twenty-two and one-  
6                half percent (22.5%) shall be paid to the State  
7                Treasurer to be placed in the Oklahoma Student Aid  
8                Revolving Fund created in Section 34.92 of Title 62 of  
9                the Oklahoma Statutes,

10          e.   before any other apportionment of revenue has been  
11                made pursuant to this paragraph, three and twenty-  
12                eight one-hundredths percent (3.28%) shall be  
13                distributed to the various counties of the state for  
14                deposit into the County Bridge and Road Improvement  
15                Fund of each county based on a formula developed by  
16                the Department of Transportation and approved by the  
17                Department of Transportation County Advisory Board  
18                created pursuant to Section 302.1 of Title 69 of the  
19                Oklahoma Statutes to be used for the purposes set  
20                forth in the County Bridge and Road Improvement Act.  
21                The formula shall be similar to the formula currently  
22                used for the distribution of monies in the County  
23                Bridge Program funds, but shall also take into  
24                consideration the effect of the terrain and traffic



1 volume as related to county road improvement and  
2 maintenance costs,

3 f. before any other apportionment of revenue has been  
4 made pursuant to this paragraph, three and seventy-  
5 five one-hundredths percent (3.75%) shall be paid to  
6 the State Treasurer to be apportioned to:

7 (1) the following sources and in the following  
8 amounts through the fiscal year ending ~~June 30,~~  
9 ~~2027~~ June 30, 2032:

10 (a) thirty-three and one-third percent (33 1/3%)  
11 to the Oklahoma Tourism and Recreation  
12 Department Capital Expenditure Revolving  
13 Fund created pursuant to Section 2254.1 of  
14 Title 74 of the Oklahoma Statutes,

15 (b) thirty-three and one-third percent (33 1/3%)  
16 to the Oklahoma Conservation Commission  
17 Infrastructure Revolving Fund created  
18 pursuant to Section 3-2-110 of Title 27A of  
19 the Oklahoma Statutes, and

20 (c) thirty-three and one-third percent (33 1/3%)  
21 to the Community Water Infrastructure  
22 Development Revolving Fund created pursuant  
23 to Section 1085.7A of Title 82 of the  
24 Oklahoma Statutes, and

1 (2) the Oklahoma Water Resources Board Rural Economic  
2 Action Plan Water Projects Fund for the fiscal  
3 year beginning ~~July 1, 2027~~ July 1, 2032, and for  
4 each fiscal year thereafter,

5 g. before any other apportionment of revenue has been  
6 made pursuant to this paragraph, twelve and one-half  
7 percent (12.5%) of the sum collected from oil shall be  
8 paid to the various county treasurers, to be credited  
9 to the ~~County Highway Fund~~ county highway fund as  
10 follows: Each county shall receive a proportionate  
11 share of the funds available based upon the proportion  
12 of the total value of production from such county in  
13 the corresponding month of the preceding year,

14 h. before any other apportionment of revenue has been  
15 made pursuant to this paragraph, twelve and one-half  
16 percent (12.5%) shall be allocated to each county as  
17 provided in subparagraph g of this paragraph and shall  
18 be apportioned on an average daily attendance per  
19 capita distribution basis, as certified by the ~~State~~  
20 Superintendent of Public Instruction, to the school  
21 districts of the county where such pupils attend  
22 school regardless of residence of such pupil, provided  
23 the school district makes an ad valorem tax levy of  
24

1           fifteen (15) mills for the current year and maintains  
2           twelve (12) years of instruction, and

- 3           i.   before any other apportionment of revenue has been  
4           made pursuant to this paragraph, forty-seven one-  
5           hundredths percent (0.47%) of the levy shall be  
6           transmitted by the Tax Commission to the Statewide  
7           Circuit Engineering District Revolving Fund as created  
8           in Section 687.2 of Title 69 of the Oklahoma Statutes;

9           8.   For all monies collected from the tax levied on oil at a tax  
10          rate of one percent (1%) pursuant to the provisions of subsection B  
11          of Section 1001 of this title:

- 12           a.   fifty percent (50%) of the sum collected shall be paid  
13           to the various county treasurers, to be credited to  
14           the ~~County Highway Fund~~ county highway fund as  
15           follows: Each county shall receive a proportionate  
16           share of the funds available based upon the proportion  
17           of the total value of production from such county in  
18           the corresponding month of the preceding year, and

- 19           b.   fifty percent (50%) shall be allocated to each county  
20           as provided for in subparagraph a of this paragraph  
21           and shall be apportioned on an average daily  
22           attendance per capita distribution basis, as certified  
23           by the ~~State~~ Superintendent of Public Instruction, to  
24           the school districts of the county where such pupils

1 attend school regardless of residence of such pupil,  
2 provided the school district makes an ad valorem tax  
3 levy of fifteen (15) mills for the current year and  
4 maintains twelve (12) years of instruction;

5 9. For all monies collected from the tax levied on oil at a tax  
6 rate of two percent (2%) pursuant to the provisions of paragraph 3  
7 of subsection B of Section 1001 of this title:

8 a. there shall be apportioned from the gross production  
9 tax levy imposed pursuant to Section 1001 of this  
10 title on oil to the Revenue Stabilization Fund created  
11 by Section 34.102 of Title 62 of the Oklahoma  
12 Statutes, the amount of revenue, if any, which exceeds  
13 the moving five-year average amount for oil as defined  
14 pursuant to paragraph 2 of subsection A of this  
15 section,

16 b. until the apportionment to the General Revenue Fund  
17 equals the moving five-year average amount for oil as  
18 prescribed by paragraph 2 of subsection A of this  
19 section, fifty percent (50%) shall be paid to the  
20 State Treasurer to be placed in the General Revenue  
21 Fund ~~of the state~~ and used for the general expense of  
22 state government, to be paid out pursuant to direct  
23 appropriation by the Legislature,  
24

- 1           c.   before any other apportionment of revenue has been  
2               made pursuant to this paragraph, twenty-five percent  
3               (25%) of the sum collected from oil shall be paid to  
4               the various county treasurers, to be credited to the  
5               ~~County Highway Fund~~ county highway fund as follows:  
6               Each county shall receive a proportionate share of the  
7               funds available based upon the proportion of the total  
8               value of production from such county in the  
9               corresponding month of the preceding year, and
- 10          d.   before any other apportionment of revenue has been  
11               made pursuant to this paragraph, twenty-five percent  
12               (25%) shall be allocated to each county as provided in  
13               subparagraph c of this paragraph and shall be  
14               apportioned on an average daily attendance per capita  
15               distribution basis, as certified by the ~~State~~  
16               Superintendent of Public Instruction, to the school  
17               districts of the county where such pupils attend  
18               school regardless of residence of such pupil, provided  
19               the school district makes an ad valorem tax levy of  
20               fifteen (15) mills for the current year and maintains  
21               twelve (12) years of instruction;

22          10.   On or after June 28, 2018 and before July 1, 2025, the  
23          gross production tax levied on natural gas or casinghead gas at the  
24

1 rate of five percent (5%) provided for in paragraph 3 of subsection  
2 B of Section 1001 of this title shall be apportioned as follows:

- 3           a.    after the total revenue apportioned to the General  
4                Revenue Fund as prescribed by subparagraph b of this  
5                paragraph equals the moving five-year average amount  
6                for gas as defined by paragraph 1 of subsection A of  
7                this section, there shall be apportioned from the  
8                gross production tax levy imposed pursuant to Section  
9                1001 of this title on natural gas ~~and/or~~ and  
10              casinghead gas to the Revenue Stabilization Fund  
11              created pursuant to Section 34.102 of Title 62 of the  
12              Oklahoma Statutes, the amount of revenue, if any,  
13              which exceeds the moving five-year average amount for  
14              gas as defined pursuant to paragraph 1 of subsection A  
15              of this section,
- 16           b.    until the apportionment to the General Revenue Fund  
17                equals the moving five-year average amount for gas as  
18                prescribed by paragraph 1 of subsection A of this  
19                section, eighty percent (80%) shall be paid to the  
20                State Treasurer ~~of the state~~ to be placed in the  
21                General Revenue Fund ~~of the state~~ and used for the  
22                general expense of state government, to be paid out  
23                pursuant to direct appropriation by the Legislature,

1 c. before any other apportionment of revenue has been  
2 made pursuant to this paragraph, ten percent (10%) of  
3 the sum collected from natural gas ~~and/or~~ and  
4 casinghead gas shall be paid to the various county  
5 treasurers to be credited to the ~~County Highway Fund~~  
6 county highway fund as follows: Each county shall  
7 receive a proportionate share of the funds available  
8 based upon the proportion of the total value of  
9 production from such county in the corresponding month  
10 of the preceding year,

11 d. before any other apportionment of revenue has been  
12 made pursuant to this paragraph, ten percent (10%)  
13 shall be allocated to each county as provided for in  
14 subparagraph c of this paragraph and shall be  
15 apportioned, on an average daily attendance per capita  
16 distribution basis, as certified by the ~~State~~  
17 Superintendent of Public Instruction to the school  
18 districts of the county where such pupils attend  
19 school regardless of residence of such pupil, provided  
20 the school district makes an ad valorem tax levy of  
21 fifteen (15) mills for the current year and maintains  
22 twelve (12) years of instruction;

23 11. Beginning July 1, 2025, the gross production tax levied on  
24 natural gas or casinghead gas at the rate of five percent (5%)

1 provided for in paragraph 3 of subsection B of Section 1001 of this  
2 title shall be apportioned as follows:

- 3           a.    after the total revenue apportioned to the General  
4                Revenue Fund as prescribed by subparagraph b of this  
5                paragraph equals the moving five-year average amount  
6                for gas as defined by paragraph 1 of subsection A of  
7                this section, there shall be apportioned from the  
8                gross production tax levy imposed pursuant to Section  
9                1001 of this title on natural gas ~~and/or~~ and  
10              casinghead gas to the Revenue Stabilization Fund  
11              created pursuant to Section 34.102 of Title 62 of the  
12              Oklahoma Statutes, the amount of revenue, if any,  
13              which exceeds the moving five-year average amount for  
14              gas as defined pursuant to paragraph 1 of subsection A  
15              of this section,
- 16           b.    until the apportionment to the General Revenue Fund  
17                equals the moving five-year average amount for gas as  
18                prescribed by paragraph 1 of subsection A of this  
19                section, forty percent (40%) shall be paid to the  
20                State Treasurer ~~of the state~~ to be placed in the  
21                General Revenue Fund ~~of the state~~ and used for the  
22                general expense of state government, to be paid out  
23                pursuant to direct appropriation by the Legislature,



- 1           c.   before any other apportionment of revenue has been  
2               made pursuant to this paragraph, ten percent (10%) of  
3               the sum collected from natural gas ~~and/or~~ and  
4               casinghead gas shall be paid to the various county  
5               treasurers to be credited to the ~~County Highway Fund~~  
6               county highway fund as follows: Each county shall  
7               receive a proportionate share of the funds available  
8               based upon the proportion of the total value of  
9               production from such county in the corresponding month  
10              of the preceding year,
- 11          d.   before any other apportionment of revenue has been  
12               made pursuant to this paragraph, ten percent (10%)  
13               shall be allocated to each county as provided for in  
14               subparagraph c of this paragraph and shall be  
15               apportioned, on an average daily attendance per capita  
16               distribution basis, as certified by the ~~State~~  
17               Superintendent of Public Instruction to the school  
18               districts of the county where such pupils attend  
19               school regardless of residence of such pupil, provided  
20               the school district makes an ad valorem tax levy of  
21               fifteen (15) mills for the current year and maintains  
22               twelve (12) years of instruction, and
- 23          e.   before any other apportionment of revenue has been  
24               made pursuant to this paragraph, forty percent (40%)

1 shall be remitted to the State Treasurer to be  
2 credited to the Preserving and Advancing County  
3 Transportation Fund created in Section ~~1 of this act~~  
4 508 of Title 69 of the Oklahoma Statutes, but in no  
5 event shall the total amount apportioned in any fiscal  
6 year pursuant to this subparagraph exceed Seventy-five  
7 Million Dollars (\$75,000,000.00). Any amounts in  
8 excess of Seventy-five Million Dollars  
9 (\$75,000,000.00) shall be placed in the General  
10 Revenue Fund ~~of the state~~ and used for the general  
11 expense of state government, to be paid out pursuant  
12 to direct appropriation by the Legislature; and

13 12. On or after June 28, 2018, the gross production tax on oil  
14 levied at the rate of five percent (5%) provided for in paragraph 3  
15 of subsection B of Section 1001 of this title shall be apportioned  
16 as follows:

- 17 a. there shall be apportioned from the gross production  
18 tax levy imposed pursuant to Section 1001 of this  
19 title on oil to the Revenue Stabilization Fund created  
20 by Section 34.102 of Title 62 of the Oklahoma  
21 Statutes, after the applicable maximum amount  
22 prescribed by subsection C of this section has been  
23 deposited to the funds therein specified, the amount  
24 of revenue, if any, which would otherwise be

1           apportioned to the General Revenue Fund and which  
2           exceeds the moving five-year average amount for oil as  
3           defined pursuant to paragraph 2 of subsection A of  
4           this section,

5           b.   before any other apportionment of revenue has been  
6                made pursuant to this paragraph, twenty-three and  
7                seventy-five one-hundredths percent (23.75%) shall be  
8                paid to the State Treasurer to be placed in the Common  
9                Education Technology Revolving Fund created in Section  
10              34.90 of Title 62 of the Oklahoma Statutes,

11          c.   before any other apportionment of revenue has been  
12                made pursuant to this paragraph, twenty-three and  
13                seventy-five one-hundredths percent (23.75%) shall be  
14                paid to the State Treasurer to be placed in the Higher  
15                Education Capital Revolving Fund created in Section  
16              34.91 of Title 62 of the Oklahoma Statutes,

17          d.   before any other apportionment of revenue has been  
18                made pursuant to this paragraph, twenty-three and  
19                seventy-five one-hundredths percent (23.75%) shall be  
20                paid to the State Treasurer to be placed in the  
21                Oklahoma Student Aid Revolving Fund created in Section  
22              34.92 of Title 62 of the Oklahoma Statutes,

23          e.   before any other apportionment of revenue has been  
24                made pursuant to this paragraph, three and twenty-

1 eight one-hundredths percent (3.28%) shall be  
2 distributed to the various counties of the state for  
3 deposit into the County Bridge and Road Improvement  
4 Fund of each county based on a formula developed by  
5 the Department of Transportation and approved by the  
6 Department of Transportation County Advisory Board  
7 created pursuant to Section 302.1 of Title 69 of the  
8 Oklahoma Statutes to be used for the purposes set  
9 forth in the County Bridge and Road Improvement Act.  
10 The formula shall be similar to the formula currently  
11 used for the distribution of monies in the County  
12 Bridge Program funds, but shall also take into  
13 consideration the effect of the terrain and traffic  
14 volume as related to county road improvement and  
15 maintenance costs,

16 f. before any other apportionment of revenue has been  
17 made pursuant to this paragraph, five percent (5%)  
18 shall be paid to the State Treasurer to be apportioned  
19 to:

20 (1) the following sources and in the following  
21 amounts through the fiscal year ending ~~June 30,~~  
22 ~~2027~~ June 30, 2032:

23 (a) thirty-three and one-third percent (33 1/3%)  
24 to the Oklahoma Tourism and Recreation

1 Department Capital Expenditure Revolving  
2 Fund created pursuant to Section 2254.1 of  
3 Title 74 of the Oklahoma Statutes,

4 (b) thirty-three and one-third percent (33 1/3%)  
5 to the Oklahoma Conservation Commission  
6 Infrastructure Revolving Fund created  
7 pursuant to Section 3-2-110 of Title 27A of  
8 the Oklahoma Statutes, and

9 (c) thirty-three and one-third percent (33 1/3%)  
10 to the Community Water Infrastructure  
11 Development Revolving Fund created pursuant  
12 to Section 1085.7A of Title 82 of the  
13 Oklahoma Statutes, and

14 (2) the Oklahoma Water Resources Board Rural Economic  
15 Action Plan Water Projects Fund for the fiscal  
16 year beginning ~~July 1, 2027~~ July 1, 2032, and for  
17 each fiscal year thereafter,

18 g. before any other apportionment of revenue has been  
19 made pursuant to this paragraph, ten percent (10%) of  
20 the sum collected from oil shall be paid to the  
21 various county treasurers, to be credited to the  
22 ~~County Highway Fund~~ county highway fund as follows:  
23 Each county shall receive a proportionate share of the  
24 funds available based upon the proportion of the total

- 1 value of production from such county in the  
2 corresponding month of the preceding year,
- 3 h. before any other apportionment of revenue has been  
4 made pursuant to this paragraph, ten percent (10%)  
5 shall be allocated to each county as provided in  
6 subparagraph g of this paragraph and shall be  
7 apportioned on an average daily attendance per capita  
8 distribution basis, as certified by the ~~State~~  
9 Superintendent of Public Instruction, to the school  
10 districts of the county where such pupils attend  
11 school regardless of residence of such pupil, provided  
12 the school district makes an ad valorem tax levy of  
13 fifteen (15) mills for the current year and maintains  
14 twelve (12) years of instruction, and
- 15 i. before any other apportionment of revenue has been  
16 made pursuant to this paragraph, forty-seven one-  
17 hundredths percent (0.47%) of the levy shall be  
18 transmitted by the Tax Commission to the Statewide  
19 Circuit Engineering District Revolving Fund as created  
20 in Section 687.2 of Title 69 of the Oklahoma Statutes.

21 C. Provided, notwithstanding any other provision of this  
22 section, the total amounts deposited to the Common Education  
23 Technology Revolving Fund, the Higher Education Capital Revolving  
24 Fund, the Oklahoma Student Aid Revolving Fund, the Rural Economic

1 Action Plan Water Projects Fund, the Oklahoma Tourism and Recreation  
2 Department Capital Expenditure Revolving Fund, the Oklahoma  
3 Conservation Commission Infrastructure Revolving Fund and the  
4 Community Water Infrastructure Development Revolving Fund pursuant  
5 to paragraphs 6, 7 and ~~11~~ 12 of subsection B of this section shall  
6 not exceed One Hundred Fifty Million Dollars (\$150,000,000.00) in  
7 any fiscal year.

8 Except as otherwise provided in this subsection, all sums in  
9 excess of One Hundred Fifty Million Dollars (\$150,000,000.00) in any  
10 fiscal year which would otherwise be deposited in such funds shall  
11 be apportioned by the Oklahoma Tax Commission to the General Revenue  
12 Fund ~~of the state~~.

13 SECTION 2. This act shall become effective November 1, 2026.

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